

## Part 6 · Business Insights & Recommendations

Analysis of the bank's customer, account, transaction, loan and branch data (60 customers, 82 accounts, 60 loans across 60 branches; transactions Jan–Aug 2024). Prepared for the Head of Retail Banking.

| Customers | Accounts | Total Balance | Loan Portfolio | Net Deposits | Avg Loan Rate |
|-----------|----------|---------------|----------------|--------------|---------------|
| 60        | 82       | \$1.55M       | \$6.37M        | +\$336K      | 5.54%         |

### 1. Which branch performs best?

**Bay Branch (San Francisco)** leads on the metric that matters most — deposits held. It holds the highest total balance of any branch at **\$184,700** and the highest deposit inflow at **\$56,000**, despite booking only 3 customers. It is a low-volume, high-value branch: revenue is driven by a few large relationships rather than headcount. NorthWest (Seattle) and the Midtown/Atlanta branches follow.

### 2. Which account type is most popular?

**Savings** accounts dominate: **45 of 82 accounts (55%)**, versus 37 checking. The gap is far wider by value — savings hold **\$1.40M of the \$1.55M** in total balances (about 90%). Checking accounts are used for day-to-day flow, while deposits accumulate in savings.

### 3. Which loan type generates the highest portfolio?

**Home loans** are the largest portfolio at **\$3.71M (58% of the \$6.37M book)**, followed by **Business at \$2.28M (36%)**. Together they make up **94%** of all lending. Car and personal loans are small by value but carry the highest interest rates (personal averages 8.21%, home just 3.56%).

### 4. Are customer registrations increasing?

No — growth has **stalled and then declined**. New customers rose steadily to a peak of **15 in 2021**, then fell to 11 in 2022 and only ~1 in early 2023. Acquisition momentum has been lost in the most recent period and needs attention.

### 5. Which branches need attention?

Two issues stand out. First, **29 of the 60 branches have no customers or accounts at all** — nearly half the network is dormant. Second, among active branches, **East Branch (Houston) is the weakest** at just \$2,150 in balances, with several single-customer branches (Gateway, Gaslamp, Inner Harbor) barely active. These are candidates for consolidation, re-marketing, or closure review.

### 6. Recommendations to management

- **Revive customer acquisition.** Registrations have fallen since 2021 — launch targeted campaigns, especially through the strong high-value branches, to rebuild the pipeline.
- **Activate or rationalise dormant branches.** Half the network books no business. Decide branch-by-branch whether to invest in growth or consolidate to cut cost.
- **Manage loan concentration risk.** 94% of the loan book is in home and business lending. Diversify the mix and monitor exposure so a downturn in one segment doesn't threaten the portfolio.
- **Grow deposits by replicating Bay Branch.** Study what drives its high per-customer balances and apply the relationship model to mid-tier branches.
- **Close revenue leakage.** Chase the \$203 in pending fees, review why premium fees are waived, and re-issue the 6 expired cards to protect fee income and engagement.
- **Clean the branch data.** Several branches share the same name across different cities — give each a unique identifier so branch reporting is unambiguous.